

NESTLEIND

117.8%
ROE

143.1%
ROCE

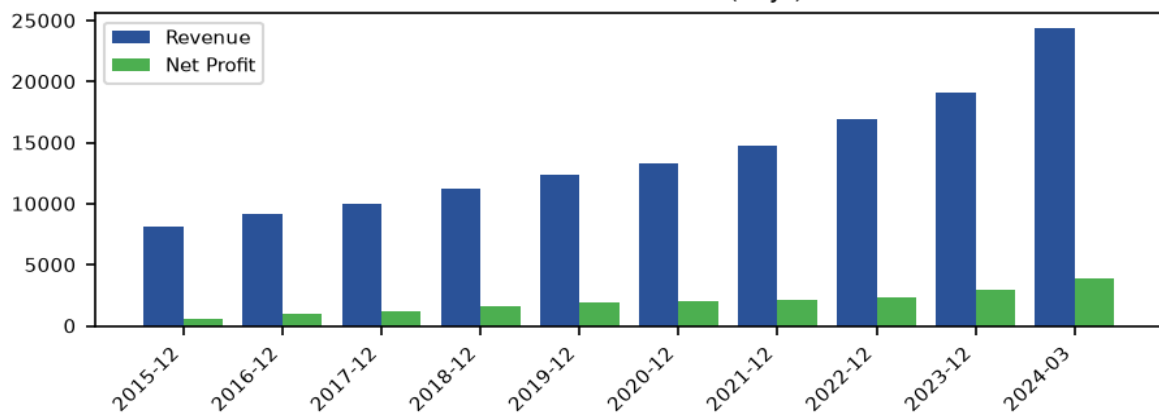
0.1x
D/E

14.5%
Revenue CAGR (5yr)

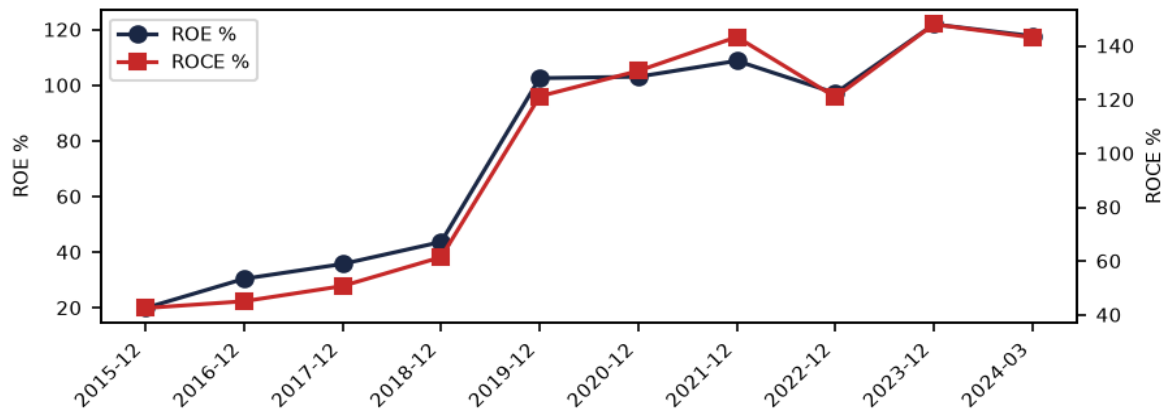
23.8%
OPM

16.1%
Net Profit Margin

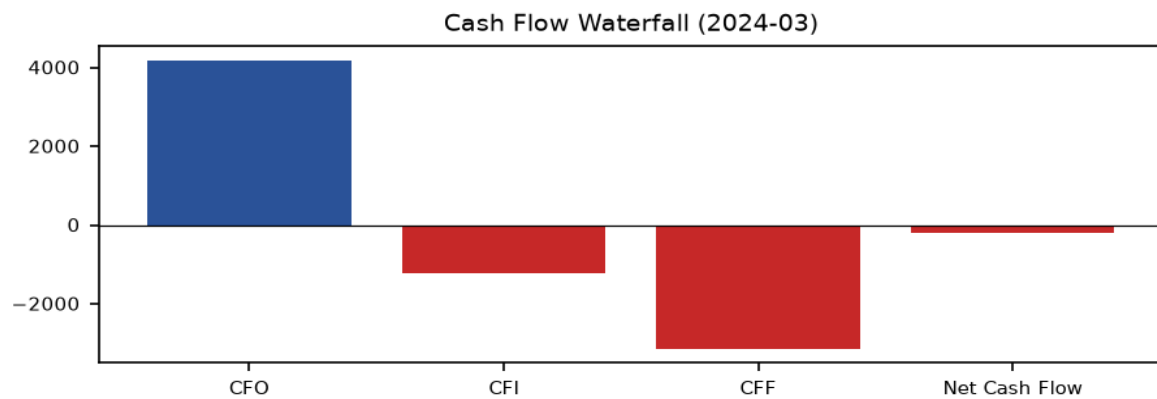
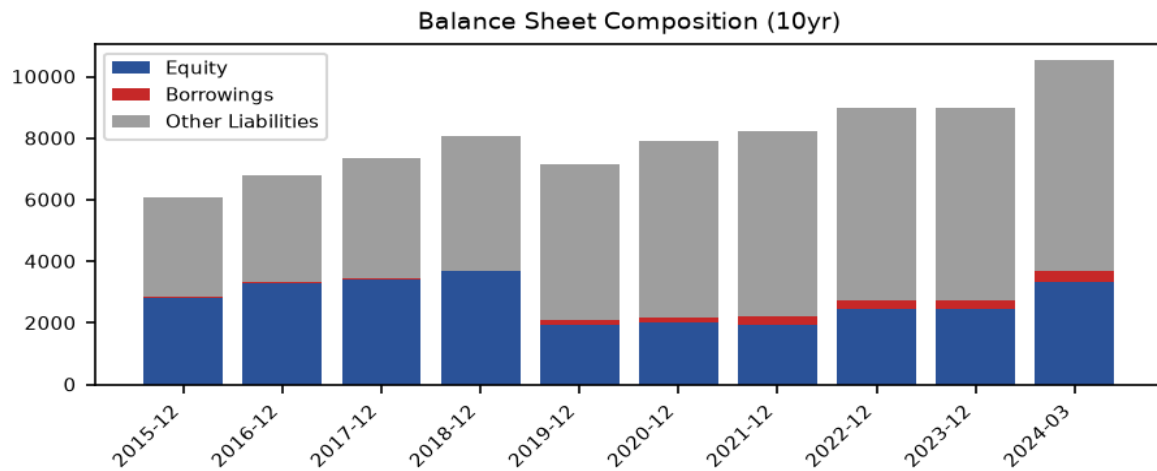
Revenue vs Net Profit (10yr)



ROE vs ROCE (10yr)



NESTLEIND



Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Stock trades at a premium to sector median P/E, reflecting high market expectations already priced in

Capital Allocation Pattern: Reinvestor